

The Patels and the Ismailis have been a very entrepreneurial community for centuries, and, over the ensuing decades (with their soon-to-be-revealed Dhandho techniques), they came to control a large proportion of the businesses in Uganda. General Idi Amin came to power in Uganda as a dictator in 1972. He declared that “Africa was for Africans” and that non-Africans had to leave. Amin wasn’t a big fan of the Patels who controlled most of his economy. The fact that most of these “non-Africans” like the Patels and the Ismailis were born in Uganda, had been there for generations, had no other home, and had all their businesses and property in Uganda meant nothing to Amin. For him, it was simple: Africa was for Africans.

Amin revoked the residency permits of all Asians regardless of whether they had any natural homeland to return to. The Ugandan state seized all their businesses and nationalized them—with no compensation to the owners. A total of 70,000 Gujaratis were thus stripped of virtually all their assets and thrown out of the country toward the end of 1972.

The world had several hot spots in 1972 and 1973 that had a significant impact on the future destiny of these orphaned Patels. With the recent formation of Bangladesh in 1971 and the war with Pakistan over its independence, India was already reeling from a very severe refugee crisis. Millions of impoverished Bangladeshi refugees had poured into India. As a result, the Indian government refused to recognize the Indian-origin population being expelled from Uganda as having any right to enter India.

Amin’s Patel expulsion also coincided with the tail end of the Vietnam War and the United States was dealing with a large influx of Vietnamese refugees at the time. President Nixon and Secretary of State Kissinger were well briefed on the Ugandan situation and were sympathetic to the plight of the Patels, but were limited in the number of Indian-origin refugees they could accept. Being “members of the Commonwealth,” the vast majority of the Patels and Ismailis were allowed to settle in England and Canada. A few thousand families were also accepted by the United States as refugees.

The first few Patels who arrived in the United States went into the motel business. The thousands that arrived later followed the lead of the pioneers and also became motel operators. Why motels? And why did virtually all of them go into the same industry?